

An Appraisal of the Union Budget 2026–27

Balancing Fiscal Rectitude with Aspirational Growth

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Abstract

In our assessment of the Union Budget 2026–27, we observe a financial statement that prioritizes macroeconomic stability and long-term asset creation over populist impulses. By targeting a fiscal deficit of 4.3% of GDP and committing to a debt-to-GDP ratio of 50% by 2030, the government signals a welcome adherence to fiscal discipline. While the reduction in welfare entitlements like MGNREGA and the hike in securities transaction taxes may provoke debate, we argue that these moves reflect a strategic pivot, transitioning the economy from consumption-led support to investment-led growth. We view this budget as a neutral-to-positive exercise in realism, one that clears the decks for "Viksit Bharat" by choosing the difficult path of structural strengthening over the easy route of short-term optics.

[†] Represents aspirations, and not current job roles

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Union Budget 2026-27

Macroeconomic Framework

- Fiscal Deficit: Targeted at 4.3% of GDP for FY27, down from 4.4% in FY26 RE, signaling a strong commitment to fiscal discipline.
- Total Expenditure: Projected at ₹53.47 lakh crore, balancing necessary expansion with consolidation constraints.
- Capital Expenditure (Capex): Increased by 9% to ₹12.2 lakh crore, continuing the heavy lifting on infrastructure to "crowd in" private investment.
- Debt Management: Explicit target to reduce the debt-to-GDP ratio to 50% by 2030; estimated at 55.6% for FY27.

Taxation & Personal Finance

- Income Tax: No changes to tax slabs for the new or old regimes. The focus remains on stability and widening the tax base.
- New Income Tax Act: A simplified Income Tax Act, 2025 will replace the 1961 Act effective April 1, 2026 to reduce litigation and complexity.
- Capital Markets: Securities Transaction Tax (STT) on futures hiked to 0.05% and on options to 0.15% to curb speculative retail participation.
- Buybacks: Share buybacks will now be taxed as dividend income in the hands of shareholders, removing a prior tax-efficient route for corporates.

Key Sectoral Allocations & Schemes

- Manufacturing & Tech:
 - India Semiconductor Mission (ISM) 2.0: Launch of the second phase to strengthen the domestic chip ecosystem.
 - Bio-Pharma SHAKTI: New scheme with ₹10,000 crore outlay to boost biopharma manufacturing.
 - Chemical Parks: Three new dedicated parks to be set up to reduce import reliance.
- Infrastructure:
 - Urban Development: ₹1 lakh crore Urban Challenge Fund to transform cities into economic hubs.
 - Logistics: Coastal Cargo Promotion Scheme launched to double the share of coastal shipping by 2047.
- Defence: Allocated ₹7.8 lakh crore, a significant jump to modernize armed forces capabilities.

- Welfare Shift: A strategic reduction in MGNREGA allocation (down to ₹30,000 crore) indicates a pivot from distress-based welfare to productive asset creation in rural areas.

Strategic Direction

The budget marks a decisive shift from *consumption-led* to *investment-led growth*. By restricting revenue expenditure (subsidies, welfare) and aggressively funding capital assets (roads, defense, tech), the government is betting on long-term structural strength over short-term relief.

INTRODUCTION

The Union Budget for the fiscal year 2026–27 is presented at a moment of significant transition in India's economic and political trajectory. Framed within the government's broader vision of "Amrit Kaal," the budget seeks to reconcile the immediate demands of economic management with the long-term ambition of transforming India into a developed economy by 2047. Against a backdrop of slowing global growth, persistent geopolitical uncertainty, and tightening financial conditions, the budget adopts a distinctly workmanlike posture. Rather than announcing headline-grabbing giveaways, it emphasizes calibration, restraint, and institutional credibility.

Total expenditure for 2026–27 is estimated at ₹53.47 lakh crore, reflecting a careful balancing act between developmental imperatives and the constraints imposed by fiscal consolidation. The government has reiterated three core "Kartavyas" or duties: accelerating economic growth, fulfilling the aspirations of citizens, and ensuring the principle of "Sabka Saath, Sabka Vikas." These objectives signal an attempt to align economic policy with a broader narrative of inclusive and sustainable development, even as the budget's operational choices reveal clear prioritization among competing claims on public resources.

A defining feature of this budget is its deliberate avoidance of exuberance. In contrast to periods of countercyclical expansion or pre-election populism, the fiscal strategy for 2026–27 is anchored in realism. The budget acknowledges volatile global dynamics, including supply chain disruptions, capital flow volatility, and heightened uncertainty in energy and commodity markets. Its response to these challenges is not a surge in public consumption, but a measured focus on enhancing productivity, strengthening competitiveness, and crowding in private investment through public capital formation.

This approach reflects a broader shift in fiscal philosophy. The government appears increasingly inclined to move away from short-term demand support and toward long-term structural strengthening. Capital expenditure continues to receive policy emphasis, while revenue expenditure, particularly in the form of open-ended welfare commitments, is subject to tighter scrutiny. Such choices underscore an implicit belief that durable growth and employment generation will ultimately emerge from investment-led expansion rather than sustained fiscal transfers.

At the same time, this budget raises important questions about the distributional consequences of consolidation-driven policymaking. While fiscal restraint may enhance macroeconomic stability and investor confidence, its effects on vulnerable households, informal workers, and rural livelihoods warrant careful examination. The tension between macroeconomic prudence and microeconomic security forms a central theme of this paper. By situating the Union Budget 2026–27 within this broader political economy context, we aim to assess not only its coherence and credibility, but also its capacity to translate aggregate stability into lived economic outcomes.

Fiscal Policy

We unequivocally applaud the government's continued commitment to fiscal consolidation. In a global environment increasingly marked by sovereign debt stress, rising interest rates, and constrained fiscal space, India's medium-term fiscal roadmap stands out as reassuringly prudent. The fiscal deficit is projected to decline to 4.3 percent of GDP in 2026–27, down marginally from 4.4 percent in the Revised Estimates of 2025–26. While the numerical adjustment may appear modest, it signals consistency and resolve at a time when many economies are postponing consolidation in favor of expediency. More significantly, the government has articulated a clear and measurable objective of reducing the debt-to-GDP ratio to 50 percent by 2030, thereby providing markets with a credible anchor for expectations.

This emphasis on fiscal discipline should not be viewed as a narrow accounting exercise. Rather, it represents a strategic macroeconomic choice with far-reaching implications. By committing to a declining debt trajectory, the government strengthens confidence among investors, rating agencies, and financial institutions. Such credibility lowers sovereign risk premia, stabilizes borrowing costs, and enhances India's capacity to absorb external shocks. In an era where fiscal slippages can quickly translate into capital flight or currency volatility, predictability itself becomes a valuable policy asset.

A key indicator of this consolidation effort is the compression of the primary deficit, which is projected to fall to just 0.7 percent of GDP. This suggests that the bulk of government borrowing is now directed toward servicing legacy obligations rather than financing fresh consumption. By reducing its net demand on domestic financial savings, the state effectively creates space for private sector credit expansion. This crowding-in effect is particularly important at a juncture when private investment is expected to play a central role in sustaining growth momentum.

The government's fiscal stance also reflects an implicit recognition of intergenerational equity. High and persistent deficits may boost short-term demand, but they impose long-term costs by shifting the burden of repayment onto future taxpayers. By choosing restraint over populism, the budget signals a willingness to absorb political costs today in exchange for macroeconomic stability tomorrow. This trade-off is neither easy nor electorally attractive, but it is essential for building durable economic institutions.

That said, fiscal consolidation is not without its tensions. The compression of deficits necessarily constrains discretionary spending and intensifies competition among sectors for public resources. The credibility gained at the macro level must therefore be weighed against potential stresses at the micro level, particularly in areas where public expenditure plays a stabilizing role. Nonetheless, from a purely fiscal perspective, the Union Budget 2026–27 demonstrates coherence, discipline, and a clear sense of direction. It positions fiscal policy not as a tool for short-term stimulus, but as an anchor of credibility that underpins India's broader developmental ambitions.

Growth vs. Welfare

The most contentious, yet potentially transformative, feature of the Union Budget 2026–27 lies in its explicit trade-off between capital expenditure and revenue-based welfare entitlements. This rebalancing represents a clear departure from demand-smoothing fiscal policy toward a growth-first framework anchored in asset creation. While such a pivot inevitably attracts criticism, it also forces a necessary debate on the appropriate role of the state in facilitating long-term development rather than perpetuating short-term relief.

The Capital Expenditure Push

We strongly endorse the allocation of ₹12,21,821 crore toward capital expenditure, which reinforces the government's commitment to infrastructure-led growth. This sustained emphasis on public investment in roads, railways, logistics, energy, and urban infrastructure forms the backbone of the "Viksit Bharat" vision. Capital expenditure of this magnitude serves a dual purpose. In the short run, it stimulates demand through construction activity and allied industries. In the medium to long run, it enhances the economy's productive capacity by reducing transaction costs, improving connectivity, and increasing overall efficiency.

More importantly, public capital formation plays a catalytic role in crowding in private investment. By absorbing early-stage risk and creating enabling infrastructure, the government lowers barriers to entry for private firms. This is particularly relevant in sectors where long gestation periods and coordination failures deter private capital. The persistence of high capex outlays, even amid fiscal consolidation, signals policy credibility and reduces uncertainty, both of which are critical for reviving the private investment cycle.

The Rationalization of MGNREGA

In contrast to the capex thrust, the sharp reduction in the allocation for the Mahatma Gandhi National Rural Employment Guarantee Act to ₹30,000 crore, down from ₹86,000 crore in the previous year, has emerged as a focal point of criticism. For many observers, this contraction represents an erosion of the rural safety net at a time when income insecurity remains a concern. However, we interpret this decision less as fiscal retrenchment and more as a signal of confidence in improving rural economic conditions.

The government appears to be betting on a gradual transition away from reliance on employment guarantees toward more sustainable income-generating opportunities. This is reinforced by the substantial allocation of ₹1.52 lakh crore to Agriculture and Allied Activities, which aims to strengthen productivity, diversify rural livelihoods, and improve resilience. By redirecting resources toward asset creation in agriculture, irrigation, animal husbandry, and allied sectors, the budget seeks to move labor from distress-driven employment toward value-generating work.

This strategy rests on a crucial assumption: that rural demand will increasingly be supported by higher farm incomes, non-farm employment, and favorable climatic conditions. If the monsoon

performs well and allied sectors respond positively to policy support, the reduction in MGNREGA spending could indeed reflect normalization rather than neglect. In such a scenario, welfare rationalization complements growth rather than undermines it.

Risks and Trade-offs

That said, this approach is not without risks. Employment guarantees function as automatic stabilizers during periods of rural stress, whether caused by weather shocks, price volatility, or localized downturns. A premature withdrawal of this support could expose vulnerable households to income insecurity if alternative opportunities fail to materialize at scale. The success of this strategic pivot therefore hinges on effective implementation, timely investment deployment, and favorable exogenous conditions.

In sum, the budget makes a deliberate and ideologically consistent choice. It privileges growth-enhancing expenditure over consumption smoothing, with the expectation that durable employment will emerge from productive investment rather than fiscal transfers. While this represents a calculated gamble, it is one that aligns with the broader ambition of transforming India's economic structure. The true test of this strategy will lie not in aggregate growth numbers alone, but in its ability to translate infrastructure and agricultural investment into stable and inclusive employment outcomes.

Taxation

In the domain of taxation, the Union Budget 2026–27 reflects a government confident enough in macroeconomic stability to widen the tax base and recalibrate incentives away from speculative activity. Rather than pursuing headline-grabbing tax cuts, the budget adopts a steady and institution-building approach that emphasizes compliance, transparency, and financial stability. This signals a shift from reactive tax policy toward a more mature framework grounded in predictability and systemic resilience.

The Middle-Class Contribution

One of the most striking features of the revenue profile is the changing composition of tax receipts. Income tax now accounts for approximately 21 percent of total receipts, surpassing corporation tax, which contributes around 18 percent. This development has sparked concerns that the fiscal burden is increasingly being borne by salaried taxpayers. However, we interpret this trend not as an undue squeezing of the middle class, but as evidence of a progressively formalizing economy in which compliance is expanding and leakages are being reduced.

The rise in personal income tax collections is closely linked to administrative reforms, including simplified tax regimes, improved data matching, and the expanded use of digital platforms.

Automated processes have lowered compliance costs and reduced discretionary intervention, thereby enhancing the "Ease of Living" for taxpayers. Over time, these measures can foster a more cooperative relationship between the state and citizens, where taxation is perceived less as a penalty and more as a contribution to collective development.

At the same time, the absence of major tax giveaways suggests a deliberate choice to preserve fiscal space. By refraining from populist relief measures, the government reinforces its consolidation objectives while relying on steady revenue growth driven by economic expansion and improved compliance. This reflects confidence in the underlying strength of the tax system rather than dependence on episodic incentives.

Curbing Speculation in Financial Markets

The budget's decision to raise the Securities Transaction Tax on futures to 0.05 percent and on options to 0.15 percent represents a targeted intervention aimed at moderating speculative excesses in capital markets. In recent years, the rapid growth of derivatives trading, particularly among retail participants, has raised concerns about market volatility, leverage, and financial literacy. Against this backdrop, the increase in STT functions as a regulatory signal rather than a revenue-maximizing tool.

We view this measure as a necessary speed breaker designed to temper short-term speculative behavior and reduce systemic risk. By marginally increasing transaction costs, the policy discourages excessive churn without undermining the core functioning of capital markets. It prioritizes long-term financial stability and investor protection over the short-term expansion of trading volumes or market capitalization.

Importantly, this approach aligns with a broader philosophy of responsible financialization. Deep and liquid markets are essential for capital formation, but unchecked speculation can distort price discovery and expose households to disproportionate risk. The STT hike reflects an attempt to strike this balance by reinforcing prudence without resorting to heavy-handed regulation.

In sum, the taxation measures in the Union Budget 2026–27 reflect a government willing to make politically uncomfortable choices in pursuit of systemic stability. By broadening the tax base, improving compliance, and curbing speculative excesses, the budget strengthens the institutional foundations of public finance. These decisions may not deliver immediate gratification, but they contribute to a more resilient and trustworthy fiscal architecture over the long run.

Federalism

On the front of fiscal federalism, the Union Budget 2026–27 demonstrates a steady and largely reassuring approach. The decision to retain the vertical devolution share at 41 percent, in line with the recommendations of the 16th Finance Commission, provides continuity and predictability in Centre–State fiscal relations. At a time when subnational governments face increasing expenditure responsibilities and revenue pressures, this adherence to an established devolution framework reinforces trust and institutional stability.

The maintenance of the 41 percent share is particularly significant in the context of fiscal consolidation at the central level. Despite its own deficit reduction commitments, the Centre has refrained from altering the devolution formula to protect its fiscal space. This signals respect for the constitutional principles underlying fiscal federalism and acknowledges the critical role states play in delivering public services, implementing welfare programs, and driving regional development.

Beyond tax devolution, the structure and scale of transfers to states further illustrate the Centre's approach. Scheme-related transfers are projected to rise to ₹5.20 lakh crore in the Budget Estimates for 2026–27. This increase suggests that the Centre is not hoarding fiscal resources, but rather channeling them toward specific policy objectives through conditional grants and centrally sponsored schemes. Such transfers enable the alignment of national priorities with state-level execution capacity.

While this model does entail a trade-off between state autonomy and central coordination, we view it as a pragmatic form of collaborative federalism. Large-scale national missions such as the *Jal Jeevan Mission* and the *Pradhan Mantri Awas Yojana* require uniform standards, economies of scale, and coordinated implementation across states. Central guidance, coupled with financial support, can help reduce inter-state disparities and ensure minimum service delivery benchmarks.

At the same time, the effectiveness of this approach depends critically on administrative flexibility and cooperative engagement. Excessive conditionality or rigid scheme design risks undermining state-specific innovation and responsiveness. The challenge, therefore, lies in balancing strategic direction from the Centre with sufficient operational autonomy for states to adapt programs to local conditions.

Overall, the Union Budget 2026–27 reflects a calibrated stance on federalism. By preserving the core architecture of fiscal devolution while leveraging targeted transfers to advance national missions, the budget seeks to combine stability with purpose. This approach reinforces the idea that cooperative Centre–State relations are not merely a constitutional obligation, but a functional necessity for achieving India's long-term development objectives.

Why We Remain Optimistic

Our neutral-to-positive assessment of the Union Budget 2026–27 is fundamentally grounded in its clear refusal to succumb to populist pressures. In an environment where fiscal largesse often substitutes for policy depth, the government has chosen restraint. Rather than expanding subsidies or announcing consumption-driven giveaways, it has increased Effective Capital Expenditure to ₹17.14 lakh crore. This decision reflects a conscious prioritization of long-term productive capacity over short-term political gratification.

A less confident administration might have attempted to smooth over economic anxieties through expanded transfers. Instead, this budget signals faith in macroeconomic fundamentals and institutional credibility. By maintaining its consolidation path while protecting investment outlays, the government demonstrates a willingness to absorb political risk in pursuit of durable growth. This choice reinforces the central argument of this paper, namely that the budget is designed less as an electoral instrument and more as a developmental blueprint.

Strengths

One of the budget's key strengths lies in its emphasis on what may be described as next-generation reforms. Initiatives such as the India Semiconductor Mission and Bio-pharma SHAKTI indicate a strategic effort to position India within future industrial value chains. These sectors are characterized by high entry barriers, strong spillover effects, and long gestation periods, making early state support both necessary and justified. By committing resources and policy attention to these areas, the budget aligns industrial policy with the demands of an evolving global economy.

Equally important is the emphasis on trust-based governance. Measures aimed at the decriminalization of select tax and compliance-related offenses reflect an intent to recalibrate the relationship between the state and entrepreneurs. By reducing fear-driven compliance and discretionary enforcement, these reforms can help unclog the entrepreneurial ecosystem and encourage risk-taking. Over time, such institutional reforms may prove as consequential as fiscal allocations in shaping economic outcomes.

The budget also benefits from internal coherence. Its fiscal stance, capital expenditure strategy, taxation framework, and federal structure all point in the same direction, namely toward stability, predictability, and structural strengthening. This consistency enhances policy credibility and reduces uncertainty for households, firms, and investors alike.

Risks and Uncertainties

At the same time, the budget is not without risks. The most prominent of these arises from the sharp reduction in MGNREGA allocations. While the intent to transition away from distress-driven employment is understandable, the success of this strategy depends critically on the timely revival of private investment and non-farm employment. If the private capital expenditure cycle fails to gain traction, or if adverse climatic conditions disrupt rural incomes, consumption demand in rural areas could weaken.

Such an outcome would test the resilience of the growth-first approach adopted in this budget. Employment guarantees have historically functioned as automatic stabilizers during periods of rural stress. A premature contraction of this safety net could amplify localized shocks if alternative income sources do not materialize at sufficient scale.

That said, the budget's design retains a degree of flexibility. The government has emphasized a continuous and adaptive policy approach, suggesting openness to recalibration as conditions evolve. This leaves room for mid-year corrections should distress signals emerge, whether through supplementary allocations or targeted interventions. The credibility of this assurance will ultimately depend on responsiveness in execution rather than intent alone.

Final Verdict

In sum, the Union Budget 2026–27 represents a disciplined and strategically oriented exercise in economic realism. It prioritizes macroeconomic stability, asset creation, and institutional reform over short-term optics. While its success hinges on favorable execution and external conditions, particularly with respect to employment generation, its underlying philosophy is internally consistent and forward-looking.

By choosing the difficult path of consolidation and investment-led growth, the budget advances the long-term vision of "Viksit Bharat" with sobriety rather than spectacle. Whether this approach delivers inclusive outcomes will depend on how effectively aggregate stability translates into household-level security. Nonetheless, as a statement of intent and policy direction, the budget merits cautious approval rather than outright endorsement or rejection.

Conclusion

In conclusion, the Union Budget 2026–27 can best be described as a budget of quiet confidence. It does not seek attention through headline-grabbing giveaways or dramatic departures from past commitments. Instead, it communicates its priorities through the measured language of fiscal arithmetic, capital allocation, and medium-term targets. This restraint is itself a policy signal, one that reflects confidence in institutions rather than dependence on spectacle.

We believe this budget serves the long-term national interest by prioritizing the health of the sovereign balance sheet and the creation of durable economic assets. By anchoring fiscal policy in consolidation while protecting investment outlays, the government reinforces macroeconomic credibility and lays the groundwork for sustained growth. The emphasis on infrastructure, industrial capability, and next-generation sectors reflects a belief that development is best achieved through productivity enhancement rather than perpetual fiscal support.

Equally important is the budget's implicit social contract. It asks citizens to participate as partners in the development journey rather than remain passive beneficiaries of state transfers. This approach places a clear burden of performance on the industrial, infrastructure, and private sectors to translate public investment into employment and income generation. While this expectation carries risk, particularly in the context of rural employment and consumption, it is a calculated risk aligned with the broader ambition of structural transformation.

For an India aspiring to developed-nation status by 2047, the path forward cannot be built solely on redistribution or short-term stimulus. It requires patient capital, institutional credibility, and difficult trade-offs. The Union Budget 2026–27 embraces this reality. It may lack glamour, but it offers coherence, discipline, and direction. In doing so, it lays a concrete foundation for long-term development, one that values endurance over immediacy and substance over optics.